

## 4. CLIENT DUE DILIGENCE MEASURES

### 4.1 Client due diligence

4.1.1 Keeping in view the anonymous and instantaneous nature of VDA transactions and the potential of services offered by REs being misused by illicit actors for the purpose of money laundering, terror financing and proliferation financing, all REs must have a robust Client due diligence (CDD) mechanism in place.

4.1.2 The CDD shall be used to verify the identity of a client, including when establishing relationship with the client; when RE does not have records of identity of its existing clients; when there is suspicion of ML/TF/PF, regardless of any thresholds; when there is doubt about the veracity or adequacy of previously obtained identification information/ documents; and for carrying out periodic profile updation of the existing clients.

4.1.3 In accordance with rule 9 of the PMLR, every RE shall identify and verify the identity of its clients at the time of establishing relationship and thereafter at periodic intervals or upon any doubt about the authenticity or adequacy of previously obtained information.

4.1.4 The Client Due Diligence (CDD) process shall, *inter alia*, include but not limited to:

- a) Identifying clients by obtaining their details/documents; verifying their identity using reliable and independent sources of identification; developing a client risk profile based on holistic assessment of available and open-source information; Ongoing due diligence through continuous monitoring of client transactions and activities; and updating client information periodically or when triggered by changes in their profile.
- b) Collect additional identifiers such as IP address with timestamp, Geo-location, Device ID, VDA wallet addresses, Transaction hashes among other parameters, which are considered necessary for verification, authentication, monitoring, and risk assessment purposes.
- c) Mandatorily obtaining and verifying the Permanent Account Number (PAN) of client for onboarding, and/or undertaking any VDA related activity. The REs shall ensure compliance with this requirement as part of their CDD measures.

### 4.2 CDD Measures for Individual

4.2.1 REs shall obtain the following minimum client information to be captured at time of establishing relationship.

#### (a) Personal Information:



- i. Full name as appearing in the PAN;
- ii. Date of birth;
- iii. Gender;
- iv. PAN details
- v. Identity document type
- vi. Identity document no.
- vii. Nationality

**(b) Contact Details:**

- i. Address;
- ii. Mobile number;
- iii. Email ID

**(c) Financial and Occupation Details:**

- i. Occupation;
- ii. Income range;
- iii. Bank account details

**(d) Other Parameters:**

- i. Selfie of the client with liveness detection;
- ii. Latitude and longitude coordinates of the onboarding location with date and timestamp alongwith IP address

4.2.2 For the purpose of CDD of its clients, RE is required to collect PAN and any one of the following identity documents: - Passport, Driving License, Proof of possession of Aadhaar number, Voter's Identity Card issued by Election Commission of India; or the equivalent e-document thereof containing the details of identity and address.

4.2.3 The RE shall verify and validate the client information and documents furnished for CDD purpose through reliable and independent sources of identification. The Mobile Number and Email ID verification shall be carried out through One-Time Password.(OTP) validation and/or link verification.

4.2.4 The RE shall ensure that the client whose credentials is being furnished is the same individual who is actually accessing the application and personally initiating the account creation process. The authenticity of such access and personal presence shall be established by capturing a live photograph of the client and employing liveness detection technology to verify the client's physical presence at the time of onboarding.



4.2.5 The onboarding system shall be equipped to accurately capture the geo-location coordinates (latitude and longitude) of the client in order to establish the precise location at which the verification process is undertaken. In case of mismatch between the address furnished and geo-coordinates, enhanced measures under CDD must be undertaken.

4.2.6 Verification of the client's bank account shall be carried out through a penny-drop mechanism, for the purpose of confirming both ownership and operational status of the account.

#### **4.3 CDD Measures for legal person who is not a natural person**

4.3.1 For opening an account of legal person who is not a natural person (sole proprietary concerns, partnership firms, companies, trusts, Non-profit organization etc.), Client Due Diligence (CDD) of the legal person shall be carried out in accordance with the procedure as prescribed above for individuals under these Guidelines, where in it shall be mandatory to obtain and verify PAN from issuing authority database in all cases. In addition, REs shall also obtain the information and applicable documents prescribed in Rule 9 of the PMLR.

4.3.2 The RE shall ensure that the beneficial owner(s) is/are determined for all clients and all reasonable steps in terms of Rule 9(3) of the PMLR shall be undertaken to verify his/her identity.

4.3.3 In case of clients who are non-profit organization (as defined in 2(1)(cf) of the PMLR). REs shall ensure that such clients are registered on the DARPAN Portal of NITI Aayog, as prescribed under Rule 9(9A) of the PMLR.

#### **4.4 Enhanced measures under CDD**

4.4.1 RE shall apply enhanced measures under Client Due Diligence (CDD) based on materiality and risk. The measures shall be initiated for transactions assessed as high risk or where ML/TF/PF concerns arise based on any of the red flag indicators triggered. Conducting enhanced measures under CDD mean applying measures and procedures that are more rigorous and robust than standard CDD and KYC processes. The scope and intensity of these measures shall be commensurate with the risk profile of the client and circumstances which triggered such measures, and should not be limited to merely obtaining income/turnover related documents. The following are indicative and non-exhaustive reasonable measures to be considered while implementing enhanced measures under CDD:

- a) Take measures to examine the financial position, including source of funds of the client;
- b) Take measures to record the purpose behind conducting such transactions;
- c) Conduct more frequent review of the client's profile/transactions;



- d) Take reasonable measures like gathering information from open sources;
- e) Undertaking independent verification of the information obtained from the client and consulting independent and credible databases, where necessary.

4.4.2 REs shall mandatorily apply enhanced measures under CDD to relationships and transactions in the following cases:

- a) with natural and legal persons from known high-risk jurisdictions, specifically with countries designated as tax havens and those on the FATF grey and black lists;
- b) when establishing relationship with Politically Exposed Persons ("PEPs"). For the purposes of these guidelines, 'PEP' shall have the same meaning assigned to it as per Rule 2(1)(db) of the PMLR;
- c) clients who are Non-profit organization.

In cases where the RE is not able to undertake the required enhanced measures under CDD, the RE shall terminate the relationship and file a Suspicious Transaction Report (STR) with FIU-IND, in accordance with rule 10(3) of PMLR.

#### 4.5 Periodic CDD updation

4.5.1 Given the high-risk nature of Virtual Digital Assets (VDAs), periodic updation of CDD on existing clients shall be undertaken. Such periodic review shall form part of the RE's risk-based approach (RBA) framework and shall include necessary verification or enhanced measure under CDD where material changes in ownership, business, or transaction behavior are observed.

4.5.2 Under the risk-based approach REs shall ensure that all Client Due Diligence (CDD) information and data remains accurate, up to date and relevant. For client assessed as high risk, KYC updation shall be carried out at least once every six months. For all other clients, KYC updation shall be carried out at least once every year, measured from the date of account opening or the last KYC updation.

4.5.3 The policy governing periodic KYC updation shall be clearly documented within the RE's CDD program, duly approved by the Board. Client's for whom periodic updation of KYC has already fallen due, the REs shall ensure that accounts of such clients are subject to KYC updation on priority.

- a) **No change in CDD information:** In case of no change in the CDD information of the client, a self-declaration in this regard shall be obtained from the client. Further, REs shall ensure during this process that ultimate Beneficial Ownership (BO) information available with



them in case of legal person is accurate and shall ensure that it is kept up to date. A self-declaration in this regard shall be obtained from the client.

- b) **Any change in CDD information:** In case of change in any CDD information, RE shall undertake the CDD process equivalent to that applicable for on-boarding a new client including verification.
- c) REs shall ensure that the validity of the CDD documents available with the RE has not expired. In such cases, the RE shall undertake the CDD process equivalent to that applicable for on-boarding a new client.
- d) It shall be ensured that the information/documents obtained from the clients at the time of updation/ periodic updation of KYC are promptly updated in the records / database of the REs and a record mentioning the date of updation of CDD details, is also maintained.
- e) Any additional and exceptional measures, which otherwise are not mandated under the above instructions, adopted by the REs such as requirement of obtaining live Selfie/Video, requirement of physical presence of the client, a more frequent periodicity of KYC updation shall be clearly specified in the RE's CDD program.

4.5.4 REs shall advise the clients that in order to comply with the PMLR, in case of any update in the information/documents submitted by the client at the time of establishing relationship, clients shall promptly intimate and submit to the REs the update of such information/documents.



## **5. ONGOING DUE DILIGENCE AND TRANSACTION MONITORING**

### **5.1 Ongoing Due Diligence**

In accordance with rule 9 (12) of the PMLR, the RE shall exercise Ongoing due diligence (ODD) by closely examining and scrutinizing transactions on a continuous basis, to determine whether client transactions are consistent with the REs knowledge of the client, its financial/risk profile, and the source of funds. The extent and intensity of monitoring shall be aligned with the risk category of the client. ODD also involves identifying changes in the client's risk profile (e.g., the client's behavior, type of VDA products/services availed, and the volume and value involved in such transaction) and keeping it up to date, which may necessitate the application of enhanced measures under CDD.

### **5.2 Transaction Monitoring**

5.2.1 REs shall establish an internal mechanism to monitor the transactions through their systems on continuous basis, and as per the Guidances issued by FIU-IND for detecting suspicious transactions from time to time. To implement this, REs shall develop, implement, and maintain effective transaction monitoring systems (including intermediary REs and cases where the originator and/or beneficiary wallet is hosted by them) that can identify the origin and destination of a VDA, and apply robust controls to detect potential ML/TF/PF activities.

5.2.2 REs should be able to flag any unusual or suspicious movement of funds or activity that may indicate potential illicit behavior or activity, including fiat-to-fiat, virtual-to-virtual, fiat-to-virtual, or virtual-to-fiat transactions. Transaction monitoring program should be appropriate to the scale and size of the RE and the products/services it provides. In the transaction monitoring process, the RE shall put in place appropriate systems to incorporate red flag indicators, guidance, typologies, instructions etc. issued by FIU-IND from time to time, along with any additional indicators identified through its own risk assessment. All alerts generated shall be reviewed by the AML/CFT/CPF monitoring team and PO without delay, and wherever applicable, STRs shall be filed promptly with FIU-IND.

5.2.3 REs shall deploy appropriate, scalable and secure systems to enable to store transaction data so as to enable reconstruction of individual transactions in compliance with Rule 4 of PMLR. These systems shall integrate seamlessly with existing systems, provide role-based access control, with reliable data backup and recovery mechanisms.

5.2.4 As large volumes of transactions are carried out on a continuous basis, REs may employ transaction risk scoring models, and deploy automated systems. REs may consider adopting



appropriate innovations including artificial intelligence and machine learning (AI/ML) technologies to support effective monitoring.

### 5.3 Travel rule

5.3.1 In accordance with Rule 4 of the PMLR, it is required that all necessary information be maintained by the RE to permit reconstruction of individual transactions. This would be applicable to VDA transfers from a client holding a wallet with a RE or using its services to transfer VDAs to a wallet hosted by another RE. In this case, the originating RE shall undertake CDD measures and sanction screening on the counterparty before they transmit the required information to avoid dealing with illicit actors or sanctioned person/entity unknowingly.

5.3.2 In terms of Rule 4 of the PMLR, REs shall ensure to include required and accurate originator information, and required beneficiary information, on VDA transfers and related messages. REs shall also monitor transfers to detect those which lack the required originator and/or beneficiary information.

5.3.3 REs facilitating or involved in VDA transfers, either as an originating or beneficiary entity, shall deploy appropriate technological solution that shall enable the originating and beneficiary RE to comply with its AML/CFT/CPF obligations for obtaining, holding, and transmitting the required information to maintain transparency of Virtual Digital Asset (VDA) transactions. In exceptional cases where deployment is found not feasible self-declaration based mechanism may be used.

This shall enable the REs to carry out the following actions:

- a) enable the submission of required and accurate originator and required beneficiary information immediately (means that providers should submit the required information prior, simultaneously or concurrently with the transfer itself) and securely (means that providers should transmit and store the required information in a secure manner to protect the integrity and availability of the required information and facilitate record keeping) when a VDA transfer is conducted. The information shall be made available on request to appropriate authorities without any delay.
- b) provide with a communication channel to support further follow-up with a counterparty RE for the purpose of counterparty due diligence; and requesting information on a certain transaction to determine if the transaction involves high risk or prohibited activities or sanctioned person/entities etc.

5.3.4 It shall be noted that post-facto submission of the required information is not permitted (i.e., submission must occur before or when the VDA transfer is conducted).



5.3.5 The required information, which the originating RE must obtain, hold and transmit, includes

- a) Originator's Permanent Account Number (PAN) and Originator's identity document No.
- b) Originator's name (i.e., the sending person's verified full name).
- c) Originator's wallet address/account number used to process the transaction
- d) Originator's physical (geographical) address that uniquely identifies the originator to the originating RE, and date of birth, provided that such an address has been verified for accuracy by the originator RE as part of its CDD process
- e) Beneficiary's name (i.e., the name of the person who is identified by the originator as the receiver of the VDA transfer). This is not required to be verified by the originating RE for accuracy, but should be reviewed for the purpose of sanction screening, transaction monitoring and STR filing
- f) Beneficiary wallet address/account number used to process the transaction

5.3.6 The required information which the beneficiary RE must obtain from the originator RE and hold, includes: which includes:

- a) Originator's Permanent Account Number (PAN) and Originator's identity document No.
- b) Originator's name (i.e., the sending person's name). The beneficiary institution does not need to verify the originator's name for accuracy, but should review it for the purpose of sanction screening, transaction monitoring and STR filing
- c) Originator's wallet address/account number used to process the transaction.
- d) Originator's physical (geographical) address that uniquely identifies the originator to the originating RE, and date of birth
- e) Beneficiary's name (i.e., the name of the person who is identified by the originator as the receiver of the VDA transfer). The beneficiary RE must verify the beneficiary's name for accuracy. Thus, the beneficiary RE shall be able to confirm if the beneficiary's name and account number they obtain from the originating RE match with the beneficiary RE's verified client data
- f) Beneficiary's wallet address/account number used to process the transaction

5.3.7 Summary of the data requirement for originating and beneficiary REs for compliance with the travel rule is presented below in **Table1**:

**Table-1**

| Data item and required action | Originating RE                                                                 | Beneficiary RE                                                                            |
|-------------------------------|--------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|
| Originator information        | Required i.e., submitting the necessary data to a beneficiary RE is mandatory. | Required, i.e. the beneficiary RE needs to obtain the necessary data from originating RE. |



|                         |                                                                                                                                                                                                                            |                                                                                                                                                                                                                        |
|-------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                         | the originating RE needs to verify the accuracy as part of its CDD process.                                                                                                                                                | The beneficiary RE may assume that the data has been verified by the originating RE.                                                                                                                                   |
| Beneficiary information | Required, i.e. submitting the necessary data to the beneficiary RE is mandatory.<br>The originating RE must monitor to confirm no suspicions arise.                                                                        | Required, i.e. the beneficiary RE needs to obtain the necessary data from the originating RE.<br><br>the beneficiary RE must have verified the necessary data and needs to confirm if the received data is consistent. |
| Action required         | Obtain the necessary information from the originator client and retain a record.<br><br>Screen to confirm that the beneficiary is not a sanctioned name.<br><br>Monitor transaction and report when it raises a suspicion. | Obtain the necessary information from the originating RE and retain a record.<br><br>Screen to confirm that the originator is not a sanctioned name.<br><br>Monitor transaction and report when it raises a suspicion. |

## 5.4 Sanctions Screening

5.4.1 Sanctions screening shall be carried out minimum in each of the following times at the (i) time of onboarding, (ii) during change in KYC details, (iii) change in sanction lists. Furthermore, sanction screening should also be done at the time any VDA transaction is initiated.

5.4.2 REs must ensure prompt application of the directives when issued by the competent authorities for implementing United Nations Security Council Resolutions (UNSCRs) relating to the suppression and combating of terrorism, terrorist financing and proliferation of weapons of mass destruction and its financing, and other related directives, as well as compliance with all other applicable laws, regulatory requirements and guidelines in relation to economic sanctions.

5.4.3 REs must also ensure prompt application of the directives when issued by the competent authorities relating to the individuals designated as 'terrorist' under the Unlawful Activities (Prevention) Act, 1967 (UAPA) and directives when issued by the competent authorities under the Weapons of Mass Destruction and their Delivery Systems (Prohibition of Unlawful Activities) Act, 2005 (WMDA).



5.4.4 REs shall put in place appropriate safeguards to ensure that no VDA transfers are completed without sanction screening, which may include putting a wallet on hold until screening is completed and confirmed that no concern is raised; and/or arranging to receive a VDA transfer with a provider's wallet that links to a client's wallet and moving the transferred VDA to their client's wallet only after the screening is completed and has confirmed that no concern is raised.

### **5.5 Suspicious Transaction Report (STR)**

5.5.1 In accordance with Rule 7(2) and Rule 8(2) read with Rule 3(1)(D) of the PMLR, REs shall promptly furnish information in respect of suspicious transactions identified through transaction monitoring, including attempted suspicious transactions, to FIU-IND.

5.5.2 An alert serves as the initial step in detecting a suspicious transaction and acts as a red flag triggered by a potentially suspicious activity. The RE shall put in place robust systems and processes to generate alerts based on predefined red flag indicators (RFIs). The principles for implementing RFIs, along with common minimum alerts and parameters for generating these alerts should be in line with the Guidances issued by FIU-IND for detecting STRs from time to time, under Rule 7(3) of PMLR,.

5.5.3 The format for reporting transactions, including suspicious transactions made or attempted, as required under Rule 7(3) and Rule 8(2) of the PMLR, shall be as prescribed by FIU-IND from time to time. Reports submitted with FIU-IND should contain complete and accurate information in respect of client KYC, Wallets, Transactions, Counterparties, Grounds of Suspicion etc.

5.5.4 Identification and reporting of STRs is an extremely serious obligation cast on the REs under the PMLA. RE is expected to ensure that every STR is reported to FIU-IND only after due application of mind and after necessary diligence. A prerequisite for high-quality STR reporting is ensuring that every data point available with an RE is effectively leveraged. This would include KYC information, transactional information, technical/metadata information, IP Addresses, Device IDs and any behavioral insights. RE are expected to make serious efforts towards reporting high quality STR which serves as a critical tool in detecting, deterring, and investigating the flow of illicit funds.

5.5.5 REs shall file an STR, irrespective of the amount of transaction and/or the threshold limit envisaged for reporting under PMLA, if they have reasonable grounds to believe that the transactions involve proceeds of crime or financing of terrorism.



## **5.6 Prohibition on Tipping-off**

Section 12(2) and Section 12A(3) of the PMLA read with Rule 8(6) of the PMLR require REs, their directors, officers, and all employees (permanent as well as contractual) to ensure that the fact of maintenance of records and furnishing of information to FIU-IND is kept confidential. This prohibition on tipping off extends not only to the filing of the STR and/or related information but even before, during and after the submission of an STR. Thus, REs shall ensure that there is no tipping off to the client or any other person at any level.

## **5.7 Submission of other reports to FIU-IND**

REs shall furnish a Monthly Report in such form, time and manner as may be prescribed by FIU-IND from time to time. The Report shall include essential metrics, activity indicators, compliance status and other relevant details as deemed necessary, in a consolidated manner as prescribed by FIU-IND from time to time.



## 6. Record Keeping

### 6.1 Obligations as per PMLA

REs shall retain records as specified under Sections 12(1)(a) and 12(1)(e) of the PMLA. The Reporting Entity shall ensure that such documents and records are securely preserved and not destroyed during the retention period.

### 6.2 Measure to be taken

The following steps shall be taken regarding maintenance, preservation and reporting of client information. The REs shall,

- a) Maintain and preserve the records pertaining to the client identification and their addresses obtained while onboarding and during the course of business relationship, for at least five years after the account-based relationship is ended;
- b) Maintain and preserve all necessary records of transactions for at least five years from the date of transaction;
- c) Where the records relate to ongoing investigations or transactions that have been the subject of a disclosure, such records shall be retained until it is confirmed that the case has been closed. Wherever practicable, the RE shall seek and retain relevant identification documents for all such transactions and report any suspicious transactions;
- d) Maintain all necessary information and records in respect of transactions so as to permit reconstruction of individual transaction, including the following:
  - i. the nature of the transactions;
  - ii. the amount and types of VDA and/or the fiat currency involved, if any, in the transaction;
  - iii. the date on which the transaction was conducted;
  - iv. the parties to the transaction;
  - v. Any other details as specified for compliance of travel rule.
- e) Implement a system with clearly defined procedures for the retention, maintenance, and preservation of all transaction and account records as required under the PMLA, PMLR Rules, and these Guidelines. The system shall enable records and data to be retrieved easily and promptly whenever required or requested by competent authorities;



- f) Preserve complete audit trails, including verification responses, timestamps, and authentication logs, in a tamper-proof manner;



## 7. Other measures

### 7.1 Approach to ICOs / ITOs

7.1.1 Initial Coin Offerings (ICOs)/ Initial Token Offerings (ITOs) are generally a means to raise funds for new projects from early backers and function similar to IPOs for stock offerings. However, such activities present heightened and complex ML/TF/PF risks, as they lack justified economic rationale, established and comprehensive mitigation measures, and full and transparent disclosures. Persons offering services relating to issuance, offer, book building, underwriting, market making and placement agent activity, sale, distribution, ongoing market circulation and trading of a VDA would be considered as REs under these guidelines.

7.1.2 The use of an automated process such as a smart contract to carry out RE functions does not relieve the parties of responsibility and obligations under Chapter IV of the PMLA and PMLR. In such instances, controlling parties (responsible for the execution of the contracts) qualified as REs shall be required to undertake documented ML/TF/PF risk assessments prior to the launch or use of the platform and put in place robust and demonstrable risk mitigation control.

7.1.3 Given the inherently elevated risks and the potential for misuse, ICO/ITO-related activities are strongly discouraged.

### 7.2 VDA transfers to/from unhosted wallet

7.2.1 In cases where the VDA transfer and transaction is between two wallets where at least one of them is a hosted wallet, the onus of compliance would be on the RE where the wallet is hosted. REs undertaking such transaction should evolve an internal mechanism to obtain the required originator, beneficiary and other relevant information from their client. Such transfers shall fall within scope of the REs broader AML/CFT/CPF obligations.

7.2.2 VDA transfers and transaction to/from unhosted wallets and related P2P transaction poses significant risks due to anonymity, the lack of limits on portability, mobility, transaction speed, and usability. Therefore, REs shall collect data on unhosted wallet transfers, and monitor and assess that information as necessary to determine the risk posed by such transaction, and then apply appropriate enhanced measures under CDD and other risk-based controls to such transaction and client, as detailed in the Guidelines.

7.2.3 REs may choose to impose additional limitations, controls, or prohibitions on transactions with unhosted wallets in line with their risk assessment. Potential measures include enhancing



existing risk-based control framework to account for specific risks posed by transactions with unhosted wallets (e.g., accounting for specific users, patterns of observed conduct, geographical risks, information from LEA and other relevant agencies) and/or enabling only those transactions assessed to be reliable.

### **7.3 Approach on unregistered VDA SPs**

Similar reasoning, as detailed in *para 7.2* above, shall apply in considering the risks posed by REs that are not yet registered with FIU-IND. It is reiterated that the obligations of VDA SPs are activity-based and apply irrespective of their physical presence in India. All entities irrespective of their registered location, if engaged in notified activities, are required to register with FIU-IND as Reporting Entities (REs). A VDA SP not registered with FIU-IND shall be liable for compliance action initiated under Section 13 of the PMLA.

### **7.4 Approach on Anonymity enhancing crypto-tokens (AECs)**

In line with the risk-based approach and based on the risk assessment under Rule 9(13)(i) of the PMLR, such transactions are deemed to be unacceptably high risk and as such outside the acceptable risk appetite due to their inherently elevated ML/TF risks. REs shall refrain from permitting deposits or withdrawals of Anonymity-Enhancing Crypto Tokens (AECs) or VDAs designed to conceal or obfuscate the origin, ownership, or value of transactions. Accordingly, Reporting Entities shall consider dealings in AECs as not permissible within their risk-mitigation framework and such transactions shall not be facilitated.

### **7.5 Approach on Tumbler/Mixer and other anonymity enhancing products/services**

Similar reasoning, as detailed in *para 7.4* above, shall apply in transactions involving crypto tumblers, mixers, and other anonymity-enhancing products or services. REs shall deploy appropriate transaction monitoring and analytical tools to identify such transactions and upon detection, these transactions shall not be facilitated and must trigger suitable risk mitigation measures.

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